

Arbitrage is classically defined as an attempt to profit by exploiting price differences in identical or similar financial instruments. For example, if gold is trading in London at \$550 per ounce and in New York at \$560 per ounce, assuming low frictional costs, an arbitrageur can buy gold in London and immediately sell it in New York, pocketing the difference. Of course, as he or she (and others) do these trades, the price spread collapses and the arbitrage opportunity eventually vanishes. While arbitrage spreads are small and sometimes only available for fleeting moments, they are virtually risk free and it is free money while it lasts. As Warren Buffett said, speaking at Columbia Law School:

Because my mother isn't here tonight, I'll even
confess to you that I've been an arbitrageur.⁹

—Warren Buffett

Anytime you're playing an arbitrage game, you end up getting something for nothing. It's always very good, in various forms, to play the arbitrage game because whenever a clear-cut arbitrage spread is available, you just can't lose. Papa Patel is playing an arbitrage game as well. His arbitrage endeavors aren't risk free, but they sure are ultra-low risk and have many of the same characteristics of classic arbitrage.

Imagine that there are two towns as shown in [Figure 5.1](#). Town A has a population of forty thousand, and Town B has a population of thirty thousand. There is a barber who works at a hair salon in Town B, and he's an employee at the salon. Once in a while, he notices that he gets new customers who say that they live in the middle of nowhere in Town C, which is 17 miles away.

[Figure 5.1](#) Dhandho Business Arbitrage